

3

The Forces Redefining Demand

Day2 shifted the object of analysis from the financial center to the person and family behind the wealth. The traditional objectives of preserving capital, generating returns, managing risk, and transferring wealth remain. What has changed is the complexity of the client's situation in which they must be achieved.

Wealth increasingly straddles family branches, jurisdictions, legal structures, providers, and asset classes: Residence affects taxation and family life; governance determines who decides; credit connects long-term assets with current liquidity needs; and digital assets introduce new forms of access, custody, and advice. These forces do not act in isolation, since a relocation can alter structures and data flow, an inheritance can shift control, and a new asset can simultaneously raise legal, operational, and reporting questions.

As these dimensions become more interconnected, coordination becomes a central function of wealth management. This chapter asks how wealth management should respond when the client's financial life becomes an interconnected system and expertise is distributed among specialists whose recommendations must still form a coherent whole.



3.1 Residence is Chosen as a System

Philippe Kenel, Partner at Valfor Attorneys-at-Law, described international relocation as a decision that affects both wealth and family life. He identified taxation, security, geopolitics, and personal circumstances as common reasons for considering a move. Relocation can change where children study, where family members work, and how wealth is organized across generations. Kenel therefore starts with the choice of destination, before addressing the legal and administrative steps that are necessary for the move.

Tax shapes the initial shortlist. Clients compare jurisdictions and exclude those whose tax conditions do not fit with their circumstances. Healthcare, education, security, infrastructure, and quality of life then influence the final choice. Switzerland's expenditure-based taxation regime can place the country on the shortlist for eligible foreign residents. Kenel described this regime as taxation based on expenditure rather than ordinary income and wealth, subject to conditions including a prohibition on gainful activity in Switzerland. Once Switzerland has made the shortlist, its appeal is strengthened by political stability, healthcare, infrastructure, and quality of life. Kenel's point is that these advantages matter because they are available together.

Competing jurisdictions combine the same conditions in different ways. Kenel presented Italy as an increasingly prominent alternative, because it offers a fixed tax arrangement combined with the possibility of working and favorable succession treatment in certain circumstances. He also associated Singapore more closely with economically active clients focused on Asia. These comparisons show why tax rates alone do not determine competitiveness: Families also compare residence rights, employment rules, succession, and living conditions.

Kenel also pointed to a number of constraints that can weaken Switzerland's position. Residence is easier to obtain for European nationals than for many non-European clients. He also questioned administrative interpretations that restrict professional activity for people taxed under the expenditure-based regime. These rules matter because internationally mobile families often need their residence, professional activity, and taxation to work together.

The nature of advisory relationships is changing as well. Kenel finds younger clients better informed and more likely to use digital tools and

artificial intelligence before meeting an adviser. They arrive with prepared questions and can double-check information that is given to them more easily. Advisers must therefore demonstrate genuine expertise, rather than relying primarily on a personal relationship.

Kenel treats relocation as a single decision shaped by several interconnected conditions: Switzerland's tax regime can bring it into consideration, while stability, infrastructure, healthcare, and quality of life can help make it the final choice, but residence, employment, and succession rules can reduce its appeal. For internationally mobile families, Switzerland's position depends on whether these conditions allow wealth, work, and family life to be organized within the same jurisdiction.

3.2 Managing Complexity: Family Governance across Generations

Trang Fernandez-Leenknecht, Founding Partner of Holistik, observed that wealthy families now operate in an environment of radical transparency and information abundance. Nonetheless, while data is more accessible than ever through banks, platforms, advisers, public resources, and digital tools, families often lack a reliable, consolidated overview of their position.

Family members may live, study, or work in different jurisdictions and hold several nationalities. Businesses, investments, and legal structures can span borders, while banks, advisers, lawyers, trustees, and specialist providers each manage part of the picture. This complexity itself is not new. What has changed is the volume and accessibility of information and the expectation that families can use it to make informed decisions.

The challenge therefore extends beyond access to information or choice. Families must turn scattered data and specialist advice into coherent decisions, establish who has the authority to make them, and ensure that they can be implemented across the relevant structures. This raises a key governance question: Who is responsible for ensuring that the pieces fit together?

The central risk is fragmentation. Various advisers can provide sound advice within their own fields, which can nonetheless create conflicts

when they are combined. An investment may be well selected, a legal structure carefully drafted, and a tax position technically sound, but the family can still be poorly served if these decisions are made in isolation. A relocation can alter several structures at once, while a death can simultaneously trigger succession, tax, liquidity, and governance consequences.

The family balance sheet has also expanded. Alongside operating businesses and liquid securities, wealth can include direct real estate, private-market investments, financing arrangements, physical stores of value, and digital assets. Fernandez-Leenknecht illustrated this through a discussion with twelve Swiss single-family offices. Drawing on wealth reports from major global private-client banks, this discussion identified a striking pattern: Roughly one-third of them reported exposure to digital assets, one-third to direct real-estate investments, and one-third to physical gold, with limited overlap between the groups.

The significance lies in the diversity of these assets. They each raise different questions about custody, control, valuation, financing, reporting, taxation, legal titles, and succession, often across different providers and legal regimes. Using several providers broadens access to specialized expertise and reduces dependence on a single institution, but it increases the need for coordination.

Fernandez-Leenknecht's response to this is governance, in the sense of a shared decision architecture defining information, authority, responsibility, and decision-making. The first step is to map the family members, jurisdictions, assets, liabilities, structures, and providers involved, before clarifying who decides, who needs information, and who is responsible for implementation.

Modern wealth-management structure is therefore defined less by the number of specialists it retains than by its ability to coordinate their expertise. This goes beyond the management of assets and increasingly involves the governance of complexity: making dispersed information usable, connecting diverse advice given by specialists, and ensuring that decisions can be implemented across generations, jurisdictions and market cycles.

3.3 Credit as a Liquidity Tool

Marc de Hennin, Partner at A&T Alpha-Credit, framed credit not as simple leverage, but as a treasury tool for large families. A Lombard loan enables clients to borrow against listed securities and access cash without liquidating long-term holdings. The proceeds can then fund new investments or purchases, such as art, cars, and collectibles. His company applies the same underlying logic at the institutional level, as expressed in the slogan: “Financing Transactions. Not Balance

Sheets.” Rather than lending against a borrower’s general creditworthiness, the firm structures each facility around a specific, identifiable transaction, a principle that de Hennin extended here to family liquidity planning.

Since assets generate cash and are given valuations on different schedules, they all require a financing structure that corresponds to their characteristics. Lombard loans use liquid securities as collateral, NAV lending can finance private-equity holdings, real estate can support dedicated borrowing, and hybrid structures can cover several asset classes. Special-purpose or securitization vehicles can isolate assets and collateral.

Timing is the main risk. A family may borrow against a liquid portfolio and invest the proceeds for several years, but if markets fall before the new investment produces a cash flow, the lender may require more collateral or repayment, forcing the family to sell securities after a decline. Private equity gives rise to the same problem over a longer horizon: Financing may mature in two or three years, but the fund can run for five to ten years and initially distribute little cash. The family must be able to service the debt until the investment generates liquidity.

De Hennin also discussed structured working-capital finance. These transactions finance commodities, finished goods, and semi-finished goods as they move through the real economy and generally mature within 30 to 120 days. He described them as self-liquidating, because the transaction defines the expected source and timing of repayment. His assessment of their risk and return remains specific to the structure and execution of each transaction.

Higher interest rates make the financing test more demanding. Borrowing costs more, while clients demand higher returns.



debt-financed investment must generate a sufficient return to justify both the financing cost and the risk. De Hennin therefore sees greater need for analysis than during the period of near-zero rates.

De Hennin expects eligible collateral to widen as regulation, custody, and banking infrastructure mature including greater use of established cryptocurrencies such as Bitcoin and tokenized real assets. He framed this as a future possibility rather than current practice. The underlying principle, already embedded in Alpha-Credit's current structures, has not changed: Financing works when an asset's liquidity and the investment horizon match the debt's maturity and repayment needs. A mismatch turns a liquidity solution into a forced sale, which is the risk the firm's transactional, self-liquidating structure is specifically designed to avoid.

3.4 Digital Assets Shift from Demand to Infrastructure

Lamine Brahimi, co-founder and Managing Partner of Taurus, described bank activity in digital assets in terms of three areas: cryptocurrency custody and trading, stablecoins, and tokenized financial instruments such as funds, equities, and debt. He reported sustained demand for digital assets through Bitcoin markets, continued institutional investment in infrastructure, strong stablecoin demand across different regions, and activity in tokenized funds and gold.

Wealth-management clients contribute to this demand. Brahimi pointed to clients under 50 in particular, whom he described as comfortable holding cryptocurrencies. In his assessment, Swiss wealth managers already possess the legal framework and technical infrastructure required to provide digital-asset services. The question is whether and how institutions integrate these assets into their investment process.

Most institutions still provide cryptocurrencies on an execution-only basis. Clients can transact in them, but investment teams rarely include digital assets in advisory or discretionary mandates. Brahimi suggested that portfolio integration may broaden as institutions become more familiar with the asset class. Some banks already include Bitcoin in portfolio allocations, sometimes alongside gold. Moving from

execution-only access to advisory and discretionary mandates would mark a new stage in institutional adoption.

Tokenized securities face a different constraint. Issuing a token does not in itself create a functioning market. Large issuers must tokenize instruments, central securities depositories must support them, regulated marketplaces must enable trading, and market makers must provide liquidity. Brahimi observed this gap in tokenized shares of startups and unlisted companies: Issuance developed in 2022 and 2023, while investor participation, research, and secondary-market activity remained limited. He sees more activity in tokenized investment funds and certain debt instruments, which he describes as simpler than equities.

DeFi imposes another institutional constraint. Brahimi sees DeFi as a way to automate processes and program delivery versus payment, but banks must still meet anti-money-laundering requirements when dealing with smart contracts. If an institution cannot identify the parties behind incoming funds and verify their source, it cannot meet those obligations. Broader institutional adoption therefore depends on solving this compliance problem.

Switzerland's position also varies by segment. Brahimi described it as an early leader whose regulatory framework enabled rapid adoption. Other financial centers have since caught up. He placed Switzerland at the forefront in cryptocurrencies and ahead on the legal framework for tokenized securities, while also noting that issuance volumes and secondary-market liquidity remain limited and that its position is less advanced in stablecoins, where other jurisdictions have moved faster.

On the whole, Brahimi highlighted how digital assets are penetrating more deeply into institutional finance. Client demand, regulation, and infrastructure already support access, while portfolio integration remains limited. Further adoption depends on institutional experience, workable DeFi compliance, and continued development across cryptocurrencies, stablecoins, and tokenized assets.

3.5 The Forces Interact

The Day 2 panel showed how several changes in client demand interact. Marc de Hennin pointed to intergenerational transfers, technology, competition between financial centers, taxation, and geopolitics. He expects younger generations to give greater attention to sustainability, impact, technology, and digital assets, while still requiring investment performance. He also expects artificial intelligence to affect investment operations, compliance, advice, and portfolio analysis.

Geopolitics has already changed investment analysis. De Hennin explained that his firm assesses both the companies themselves and the countries in which transactions occur. Sanctions can create exposure through supply chains, even when the immediate investment is elsewhere. Political and legal stability, currency strength, and banking access therefore play a role in investment decisions.

Trang Fernandez-Leenknecht focused on information and coordination. Governments and service providers can access and exchange more data, yet families may still lack a consolidated overview, because information remains dispersed among various banks, lawyers, jurisdictions, and other providers. Families need to understand how their data is being handled and how much control they retain. Greater transparency also makes it easier to compare providers and increases the pressure to communicate costs, risks, and results.

Roger Hartmann linked this complexity to how advice is organized, arguing that a wealth manager can no longer cover every field on their own and that they must therefore work with specialists from different disciplines. He highlighted Switzerland's academic and vocational training and cited reverse mentoring as providing one way for established professionals to understand how younger clients use technology and financial services. Philippe Kenel added that longer life expectancies are delaying inheritance, creating different generations of future heirs with different expectations.

De Hennin also highlighted the growing role of credit in private wealth. Credit can provide liquidity without requiring families to sell strategic, illiquid, or long-term assets. However, financing must remain consistent with the liquidity and maturity profile of the underlying wealth. Otherwise, a mismatch between repayment obligations and available cash flows can turn a financing solution into a source of risk and, in

stressed conditions, lead to the forced sale of assets at an unfavorable time.

The emergence of digital assets shows how a new asset can lead to changes in several parts of the advising process at once. Lamine Brahimi explained that banks often begin with execution-only access. Moving on to the provision of advice is contingent on suitability and appropriateness controls, internal expertise, monitoring, and adviser training. Advisers must explain why they are recommending a given cryptocurrency, tokenized fund, or other instrument and identify its risks. Fernandez-Leenknecht added a structuring dimension: Renewed interest in trusts can provide flexibility for families holding traditional and digital assets across jurisdictions. New assets therefore affect ownership and legal structure, as well as investment selection.

The panel also assessed Switzerland's competitiveness. Kenel argued that expenditure-based taxation is important for attracting wealthy foreign residents in the main French-speaking cantons, while residence permits, property rules, and professional-activity constraints can diminish this appeal. Brahimi raised the issue of wealth taxation for founders whose wealth is concentrated in illiquid company shares. Fernandez-Leenknecht argued that Switzerland is attractive, but warned that competing centers continue to improve their own propositions.

These examples point to a broader coordination challenge. Digital assets can affect custody, control, reporting, legal structure, and succession, as well as investment selection, just as tax, financing, or relocation decisions can have consequences for several different components of a family's wealth. Addressing these interdependencies requires not only specialist expertise, but also coordination between specialists. The objective is not for a single institution to provide every service, but to have one consolidated perspective that can connect their recommendations and turn them into a coherent course of action for the family.

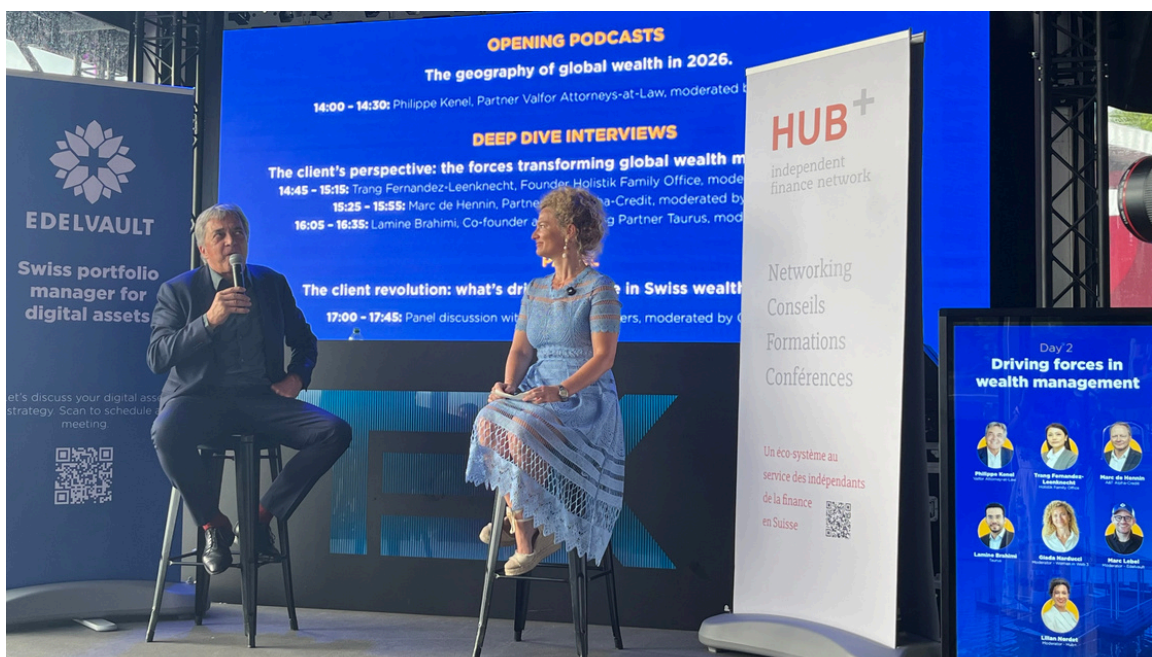
Fernandez-Leenknecht gave the panel's conclusion a concrete image. Switzerland has long operated as a vault, supported by stability and specialist expertise. She asked whether it can also become a "chef d'orchestre," in the sense of a place that sees the whole picture and coordinates the different dimensions of wealth. The discussion defined what that role requires. Families span jurisdictions, data and providers are fragmented, new assets require new expertise, and geopolitical, tax,

and succession decisions interact with each other. Switzerland can apply its existing strengths by coordinating these dependencies around the client.

3.6 What Day 2 Established

Day 2 showed that managing wealth increasingly requires looking beyond investment portfolios to the client's broader financial, family, and cross-border situation. The client's situation can combine factors such as residence, family governance, financing, data, succession, legal structures, and traditional or digital assets. Each area can be handled by a specialist, but the family itself still experiences the consequences as a single system. The central risk is therefore not simply insufficient expertise, but rather fragmentation. Decisions made correctly in one domain can conflict with decisions made elsewhere.

This shifts the focus of value of advice toward coordination: Kenel showed that relocation is a package of interdependent conditions; Fernandez-Leenknecht made family governance the mechanism for assigning information, authority, and responsibility; de Hennin matched asset liquidity with liability maturities; and Brahimi distinguished access to digital assets from their integration into advice. The panel extended the same logic across geopolitics, data, and professional education.



3.6 What Day 2 Established

Speakers

Philippe Kenel

Takeaway 1

Tax gets a jurisdiction onto the short-list; the broader living environment determines the final choice.

Takeaway 2

Switzerland is competitive thanks to a package combining taxation, stability, infrastructure, healthcare, and quality of life.

Takeaway 3

Specific legal and residence constraints can weaken this package, especially for non-European clients and internationally active families.

Trang Fernandez-Leenknecht

Takeaway 1

The family balance sheet is no longer the whole story. Families hold more assets, use more providers, and face more interdependent decisions.

Trang Fernandez-Leenknecht

Takeaway 2

More choice creates a coordination challenge. Multiple providers expand access and reduce dependence on any one institution, but they also multiply data, mandates, and blind spots. The risk is fragmentation: Advice that is sound in isolation, may fail to add up to a single coherent family strategy.

Takeaway 3

Governance turns complexity into continuity. Provide the architecture: a framework that defines who receives information, who has authority to decide, who is responsible for implementation, and how decisions are communicated across the family and its professional ecosystem.

Marc de Hennin

Takeaway 1

Credit has become a treasury-management tool for wealthy families, allowing liquidity without selling long-term assets.